

Before the Federal Maritime Commission, Washington, DC.

Docket No. 25-08

FormuKleen, Inc.
(Complainant)

Top Shipping Systems, Corp.
(Respondent)

MOTION TO DISMISS FOR LACK OF JURISDICTION

Introduction and Overview

COMES NOW Respondent, Top Shipping Systems, Inc. (“TSS”), by and through its undersigned counsel, and files this its Motion to Dismiss for Lack of Jurisdiction as there is no subject matter jurisdiction in this case and in support would state the following:

1. The case needs to be dismissed as there is no jurisdiction.
2. As raised in the Verified Answer filed by Respondent, the Commission lacks subject matter jurisdiction over this proceeding. The actions complained of pertain solely to Respondent’s role as a customs broker, an entity that arranged for drayage, and as a warehouseman which are not governed or regulated by the Shipping Act of 1984. Furthermore, the only NVOCCs involved with this shipment did not include the Respondent who did not act as an NVOCC or as an Ocean Freight Forwarder. There is nothing on the record to indicate that TSS was acting as an OTI.
3. Under Federal rule of Civil Procedure 12 (h)(3) the issue of lack of subject matter jurisdiction can be determined at any time. In *Hu v. Skadden, Arps, Slate, Meagher & Flom LLP*, 76 F.Supp.2d 476 (1999) a Motion to Dismiss was granted on a lack of subject matter jurisdiction on a case that had been going on for two years and was on the eve of trial. The Court specifically stated, “The timing of defendant's motion

does not detract from its merit. Although defendant filed this motion to dismiss more than two years after the inception of this suit, plaintiff's protest regarding the timing of this motion on the eve of trial is unavailing."

4. The claims should have been brought in a state court as a warehouse dispute and are governed by state law under the Uniform Commercial Code. The FMC practitioner has chosen to place this matter in front of the Federal Maritime Commission.
5. The only improper conduct in this matter was that of the Complainant, who refused to pay its outstanding invoices in a timely manner and created a disruption at the Respondent's place of business. Notably, all FormuKleen's cargo has been released by TSS despite the Respondent still being owed money. See **Exhibit A** Affidavit of Ricky Villena. This whole matter came about, because the Complainant was forced to pay its bills and is unhappy about it. Prior to the matter going forward, there was no dispute over the amount of money that was owed by the Complainant. See **Exhibit A**. Affidavit of Ricky Villena. TSS further states that it temporarily withheld delivery of the containers for purposes of securing payment owed, including outstanding obligations both related and unrelated to the shipments at issue; that it revoked credit terms; that it advanced customs duties for the first shipment only, as such advances were provided solely as a courtesy, and did not advance customs duties for the second shipment; and that it imposed warehouse and storage charges. **Exhibit A** Affidavit of Ricky Villena. The containers were in TSS' custody and/or control after they were no longer in international transit.
6. TSS revoked credit terms, ceased advancing duties, and declined to release goods unless and until outstanding amounts were satisfied. These actions were within its rights under Florida Statute 677.209. See **Exhibit A**. See Affidavit of Ricky Villena.
7. "Complainants bear the burden of demonstrating that the Commission has jurisdiction to adjudicate their claims." *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 1 F.M.C.2d 403, 406, 2019 FMC LEXIS 44 at *10 (FMC July 16, 2019) (citing *River Parishes Co., Inc. v. Ormet Primary*

Aluminum Corp., 28 S.R.R. 188, 201 (ALJ 1998), *aff'd* 28 S.R.R. 751 (FMC 1999)).” There is nothing indicating that this burden has been met nor can it be met by the Respondent. All of the bills of lading were done by other parties, and this was inbound cargo. See Affidavit of Ricky Villena.

Exhibit A.

MEMORANDUM OF LAW

8. This Motion is made under Federal Rule of Civil Procedure 12 (b)(1) which provides for a Motion to Dismiss for Lack of Subject Matter Jurisdiction as allowed under the Rules of the Commission which do recognize Motions to Dismiss.
9. This case involves a failure to pay customs duties, trucking charges, and warehouse charges that properly belong in state or federal court, in Miami-Dade County, Florida not before the Federal Maritime Commission. The Respondent provided local trucking from one point in Miami-Dade County to another on inbound cargo which gives jurisdiction of this dispute to the state and federal courts of Miami-Dade County, Florida. See Affidavit of Ricky Villena **Exhibit A**. These activities were not the responsibilities of Non-Vessel-Operating Common Carrier (“NVOCC”).
10. The Complainant has failed to provide any bill of lading listing the Respondent as an NVOCC or as an ocean freight forwarder. This was an inbound shipment from another country. Customs brokers are governed by the Department of Homeland Security not by the FMC. Acting as a customs broker on shipments does not automatically trigger Federal Maritime Commission jurisdiction. The only bills of lading related to these shipments list other parties as carriers, and both of those parties have NVOCC numbers which are not the FMC numbers of the Respondent. See bills of lading attached to the Affidavit of Ricky Villena. **Exhibit A**.

There are no bills of lading that have been produced with TSS listed as the NVOCC or with its NVOCC license. This is un rebutted by the Complainant.

11. The Complainant offers nothing beyond unsubstantiated allegations that TSS acted as an NVOCC in this matter. There are no bills of lading issued in the name of TSS because they do not exist. There is no proof or documentation showing that TSS moved the cargo anywhere other than within Miami-Dade County. There is no evidence that TSS coordinated the movement from China for purposes of these shipments, TSS was strictly limited to acting as the customs clearance broker, trucking (drayage) provider, and warehouse operator, and, in that capacity, was listed as the notify party. TSS did not act as an NVOCC, ocean freight forwarder, or as an agent handling the ocean transportation of the cargo. The Complainant has submitted no documentation to demonstrate that TSS booked the cargo. In its complaint, it just alleges that the temporary holding of the cargo was unfair. This does not convey jurisdiction on the Commission. This is a matter for the courts of Miami Dade County Florida and for the Department of Homeland Security as to any alleged Customs violations.
12. The Respondent respectfully directs the Court to *A Customs Brokerage, Inc. v. Cargocare Logistics USA, Inc. and Cargocare Logistics America, Inc.*, FMC Docket No. 1987(I) (served Apr. 4, 2024). That case involved a customs broker in a proceeding before the FMC under the Shipping Act of 1984. The FMC held there was no jurisdiction because neither respondent was acting as an NVOCC. In that decision, the Commission explained: “Similarly, CC America cannot have violated the Shipping Act in this case because it acted as a delivery agent, not as an NVOCC, MTO, or even an ocean freight forwarder. Pursuant to shipments were all inbound an ocean freight forwarder is a person that... in the United States, dispatches shipments from the United States via a common

carrier and books or otherwise arranges space for those shipments on behalf of shippers... and processes the documentation or performs related activities incident to those shipments.’ In other words, to be an ocean freight forwarder, CC America would have had to dispatch the cargo from the United States, but in that case, it handled the import cargo in the United States as delivery agent for CC India, which acted as the NVOCC for the shipments in question. Accordingly, CC America could not have violated the Shipping Act on these facts.” The shipments were all inbound, so there was no way that the Respondent could be an ocean freight forwarder. In the case at bar, the cargo was all inbound from China.

13. As in *A Customs Brokerage*, supra, TSS’s role here was limited to non-international carrier functions such as customs brokerage, local trucking (drayage), and warehousing after the shipments cleared customs. It is significant that in *A Customs Brokerage*, supra, the Complainant was a customs broker and the FMC declined jurisdiction. Acting as a customs broker does not subject a broker to the jurisdiction of the Federal Maritime Commission. In the case at bar, the Respondent was acting as a customs broker but strictly pursuant to a Customs brokerage agreement. TSS was not the NVOCC for these shipments; the Complainant had its own NVOCC that coordinated the ocean transportation. All handling by TSS was domestic in nature and took place within Miami-Dade County, Florida.
14. There is no legal or factual basis for FMC jurisdiction. The Shipping Act applies only to “ocean transportation intermediaries,” “common carriers,” and other specifically defined entities under 46 U.S.C. § 40102. TSS was acting in a capacity entirely outside the scope of that definition.
15. In *Landstar Express America Inc. v. FMC*, 569 F.3d 493 (D.C. Cir. 2009), the court held that even entities performing related shipping functions are not subject to the Act unless they meet statutory definitions. The court explained that a person or entity “falls within the ambit of § 19 only when it

holds itself out to the general public to provide transportation and assumes responsibility for the transportation.” Id. Here, TSS did neither. The bills of lading show that transportation ended in Miami and it was not part of a through bill of lading. TSS does not appear on any bills of lading as shipper or consignee.

16. An ocean freight forwarder by definition handles outbound cargo, not inbound cargo. FMC authorized NVOCCs also typically handle more outbound than inbound cargo. The fact that the Complainant would even assert that the Respondent is an Ocean Freight Forward demonstrates a basic lack of understanding of what the function of an ocean freight forwarder is with regard to cargo.
17. Your honor in fact noted in its decision denying the Complainant’s Motion for Summary Judgment the following:

“Here, Respondent is a registered OFF. (*See* UMF, ¶ 1). Complainant, however, does not demonstrate that Respondent acted as an OFF in relation to the two containers at issue. The Shipping Act defines an OFF as a person in the United States that “dispatches shipments from the United States via common carrier and books or otherwise arranges space for those shipments on behalf of shippers” and “processes the documentation or performs related activities incident to those shipments.” (46 U.S.C § 40102(19)). The bills of lading in the record show that the two containers were both imported from China. (UMF) ¶¶ 4, 8). Because the containers were imported, Respondent apparently did not act as a person who dispatched shipments from the United States. Without more information, I cannot conclude that Respondent acted as an OFF with respect to the two shipments. (*Petra Pet, Inc. v. Panda Logistics, Ltd.*, Dkt. 11-14, 2013 WL 9808694, at *3 (FMC Oct. 31, 2013) (affirming the ALJ’s finding that a respondent was not an OFF because the shipment at issue the shipments at issue were dispatched to the United States)).

Similarly, although Respondent is a registered NVOCC, I find that Complainant has not demonstrated that there is no genuine issue of material fact as to whether Respondent was acting as an NVOCC. An NVOCC is defined as a common carrier that does not operate the vessels by which the ocean transportation is provided, and “is a shipper in its relationship with the ocean carrier.” (46 U.S.C § 40102(17)).”

There are no bills of lading listing the Respondent as a shipper on any bills of lading. The claim that the Respondent is an ocean freight forwarder is frivolous.

18. See also *AEI Asia Express (H.K.) Ltd. v. Am. Bankers Ins. Co. of Fla.*, 5 F. App'x 106, 109 (4th Cir. 2001) which states: "NVOCC is defined as "a common carrier that does not operate the vessels by which the ocean transportation is provided and is a *shipper in its relationship with an ocean common carrier.*" 46 App.U.S.C.A. § 1702(17) (emphasis added). Courts frequently describe NVOCCs as "intermediary [ies] between a shipper of goods and an operator of a vessel that carries the goods. *Axess Int'l, Ltd. v. Intercargo Ins. Co.*, 183 F.3d 935, 937 (9th Cir.1999). "TSS was not such an intermediary.
19. The Respondent did not deal directly with the ocean carrier and did not appear as a Shipper on any bills of lading. According to the regulations, an NVOCC can appear on a bill of lading as a shipper. TSS only appears to be a notifying party as it is a customs broker. It did not coordinate the cargo from China.
20. Another case on point would be that of *Logfret, Inc., Complainant v. Kirsha, B.v., Leendert Johanness Bergwerff A/k/a Hans Bergwerff, and Linda Sieval, Respondents.*, 2019 WL 5088014 where there was a finding that a party did not act as a NVOCC and did not issue bills of lading or coordinate the whole shipment.
21. Below is another section of this Court's opinion dealing with the issue as to whether or not the Respondent was acting as an NVOCC in discussing *Worldwide Relocations*, 2012 WL 11914713 which is as follows:

The Court did not find that there were facts in front of the Court such that the Respondent was an NVOCC. The court stated: The Commission in *Worldwide Relocations*, however, noted that whether an entity acted as an NVOCC in relation of a particular shipment is a fact intensive inquiry. (*Worldwide Relocations*, 2012 WL 11914713, at *5) (citations omitted). Reviewing the totality of the facts, there are some facts that indicate that Respondent did not act as an NVOCC regarding the container shipments. Respondent apparently did not issue the bills of lading or other documents in the record. Both BL1 and BL2 appear to have been issued by entities other than

Respondent, *i.e.*, BL1 was apparently issued by TopSeaLand, and BL2 appears to have been issued by Qichen Logistics. (UMF, ¶¶ 4, 8). Similarly, the arrival notice related to Container CSHU4047424 appears to have been issued by Dolphin Logistics, and the telex related to Container BSIU8431017 appears to have been issued by DHY. (UMF, ¶¶ 5, 9). The shipper on both BL1 and BL2 is HGA. (UMF, ¶¶ 4, 8). These facts suggest that Respondent was not an NVOCC. (*See* 46 C.F.R. § 515.2(k)(4); *see also* (46 U.S.C § 40102(17)(B) (stating that an NVOCC is a “shipper in its relationship with an ocean common carrier.”))).

There are no bills of lading listing TSS as a shipper or issued in its own name. The only thing that the court seemed to consider otherwise was that TSS assisted with customs clearance which in and of itself would turn this into a case in front of Customs Border and Protection not the Federal Maritime Commission. The jurisdictional separation reflects the fundamentally different roles these entities serve in international trade. Customs brokers primarily handle import documentation, customs clearance procedures, duty payments, and compliance with customs regulations 19 USCA § 1641. The regulatory framework is implemented through 19 C.F.R. Part 111, which prescribes detailed licensing requirements, duties and responsibilities of brokers, and enforcement procedures 19 CFR § 141.1. If the claim is based on issues with the Respondent clearing goods, it is under the United States Customs and Border Protection, not the Federal Maritime Commission. It has its own procedures to resolve complaints against brokers.

A case previously cited in this motion was one in which a customs broker could not obtain jurisdiction over a customs broker. Ocean transportation intermediaries, by contrast, arrange maritime shipping services, book cargo space with ocean carriers, prepare shipping documentation, and coordinate the physical movement of goods by sea 46 USCA § 40102. Their activities center on the transportation aspects of international commerce rather than customs clearance and regulatory compliance. None of these is present in the case before the court. The assistance by TSS with Customs brokerage as a customs broker is not properly

before the Federal Maritime Commission.

Also, the section from the prior ruling states that you must look at the totality of the circumstances. *Worldwide Relocations*, 2012 WL 11914713, at *5. Here there are bills of lading issued by other parties with FMC licensing numbers and absolutely nothing on the record to show that TSS coordinated this shipment from China. At the most, TSS advanced funds as a customs broker and some freight as a courtesy so that shipments would not incur demurrage at the port. See affidavit of Ricky Villena. Exhibit A.

22. The dispute in fact would also be governed under the Uniform Commercial Code at Florida Statue 672.209 which governs liens and the sale of items by auction. This case never reached that point as there was a release of the cargo. If Formukleen feels that it was treated unfairly, then it could file a lawsuit in the Courts of Miami-Dade County, Florida as required in the warehouse receipt and the customs invoice.

Conclusion

There is no basis for this matter to proceed before the Federal Maritime Commission as there is no jurisdiction. At most, this is a warehouse dispute that belongs in state or federal court. This claim should have been brought, if anywhere, in the state or federal courts of Miami-Dade County, Florida. FormuKleen's sole basis for invoking FMC jurisdiction is the Shipping Act of 1984, but the record demonstrates that TSS was not acting as an Ocean Freight Forwarder or as an NVOCC for the shipments at issue. The documentation, undisputed facts, and controlling law all confirm that TSS's role was limited to non-carrier functions including customs brokerage,

drayage, and warehousing outside the scope of the Shipping Act. authority to enter summary judgment in favor of the Respondent.

CERTIFICATE OF SERVICE

I certify that on the 13th day of March 2026, a true and correct copy of the foregoing Notice of Service was hereby served by electronic mail upon the party of record for the Complainant, in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

Served to:

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Respectfully submitted,

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